

Assignment #1

1) Here are the 2025 events for Company ABC Inc.

- On January 1, 2025, Founders contributed \$100,000. The company issued them 100,000 common shares \$0.01 par value, in return.
 - On February 1, 2025, Founders signed a SAFE with Investor A for \$500,000 with the following features:
 - 30% discount; or
 - \$5M cap
 - On Mar. 31, 2025, the company took a \$1,000,000 Bullet Loan for two years, bearing 5% annual interest. Interest is paid on a semi-annual basis.
 - On April 1, 2025, the company purchased in cash computers for \$9,000. Computers are amortized over 3 years period.
 - On Jun. 30, 2025, the company paid \$25,000 for a one-year insurance policy of its officers and employees.
 - In Jul. Sep. and Dec. 2025, the company sold its services for total of \$250,000 (\$50k, \$80k and \$120k respectively). Customers pay the due amounts on a net 60 payment term.
 - In Nov. 2025 ABC Inc. closed with Investor B a financing round of \$3,000,000 for issuance of Preferred Shares A, at a pre-money valuation of \$8,000,000.
 - Operating expenses are as follow:
 - Payroll cost is \$30,000 each month. Payroll is paid on the 9th of the following month
 - Rent is \$5,000 each month. Due on the 1st of each month.
- a) Make a record of all the events and activities occurred in 2025 (use the double entry method).
- b) Prepare a Balance sheet for Dec. 31, 2025
- c) Prepare a Income Statement for the year ended December 31, 2025
- d) Prepare a report (a table) listing number of shares and interest for each shareholder group (Founders, Investor A and Investor B), as of December 31, 2025.

- This assignment must be submitted in Excel.